Social Science Simulations (SVUH.00.300)

Monte Carlo Analysis and Python-based Simulations

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Three questions that are hard with pen and paper

A referendum

Polls say 52% yes, but polls are never exact and turnout is uncertain. How likely is it to pass?

A survey

You expect a modest difference between two groups. How many people must you interview to detect it?

A city

Each resident has only a mild preference for similar neighbours. Does the city become segregated?

Today: a ladder of six stops, and two tabs to keep open

1. **Two dice**
   estimate a probability by counting
2. **Darts and π**
   measure a number with randomness
3. **A referendum**
   uncertainty in, a range of outcomes out
4. **Planning a survey**
   test a study design on fake data
5. **Schelling's city**
   run an agent-based model many times
6. **Where this leads**
   bootstrap, sensitivity, MCMC

Tab 1: animations

acharyakishor.com/simulations
Drag sliders, no code.

Tab 2: notebook

github.com/ACHARYAkishor/Monte_carlo_Seminar_UniTartu
(Open in Colab button)

At every stop an "On your screen" slide tells you which animation and which notebook section to open, what each slider means, and what to look for.

Where the name comes from

Solitaire, a casino, and a secret project

Los Alamos, 1946

1946: a sickbed and a deck of cards

Stanisław Ulam



Source
Los Alamos National Laboratory, 1940s · public domain

- Stanisław Ulam, recovering from a serious illness, plays Canfield solitaire to pass the time.
- He wonders: what is the chance that a randomly dealt layout can be won?
- He tries to calculate it by pure combinatorics. Hopeless.
- Then a simpler idea: lay the cards out a hundred times, count how many games come out, and take the proportion as the answer.

Metropolis, N. (1987). The beginning of the Monte Carlo method. Los Alamos Science, 15, 125–130.

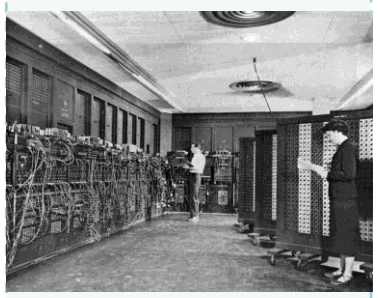
The same trick for a much harder problem

John von Neumann



Source:
Los Alamos National Laboratory · public domain

ENIAC (1947)



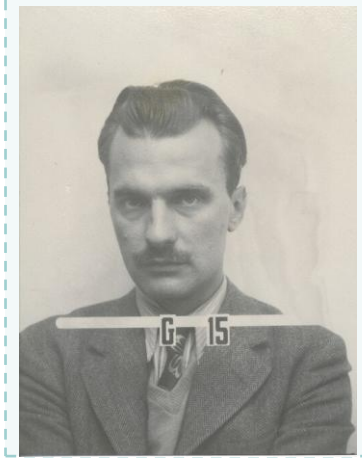
Source:
U.S. Army photo · public domain

- At Los Alamos, physicists could not solve the equations for how neutrons travel through material.
- But following one neutron on its random path is easy: how far it goes, whether it is absorbed or scattered.
- Follow thousands of neutrons and count: the answer the equations could not give.
- John von Neumann worked out how to run it on ENIAC, the first electronic computer, in 1947.

Trade thinking for computing

Why it is called Monte Carlo

Nicholas Metropolis



Source:
Los Alamos badge photo · public domain

Casino de Monte-Carlo



Source:
Wekepedia

- The work was secret and needed a code name.
- Nicholas Metropolis proposed “Monte Carlo”: the casino in Monaco where Ulam's uncle used to borrow money from relatives to gamble.
- First public description: Metropolis & Ulam (1949).

Metropolis, N., & Ulam, S. (1949). The Monte Carlo method. Journal of the American Statistical Association, 44(247), 335–341.

Three things to keep from the story

Born from gambling

Cards and dice are the simplest random processes. That is why we start with them, and why the vocabulary (odds, draws, runs) comes from the casino.

Thinking for computing

When the formula is out of reach, simulate the process and let the machine count. Patience is something a computer has in unlimited supply.

Impossible before computers

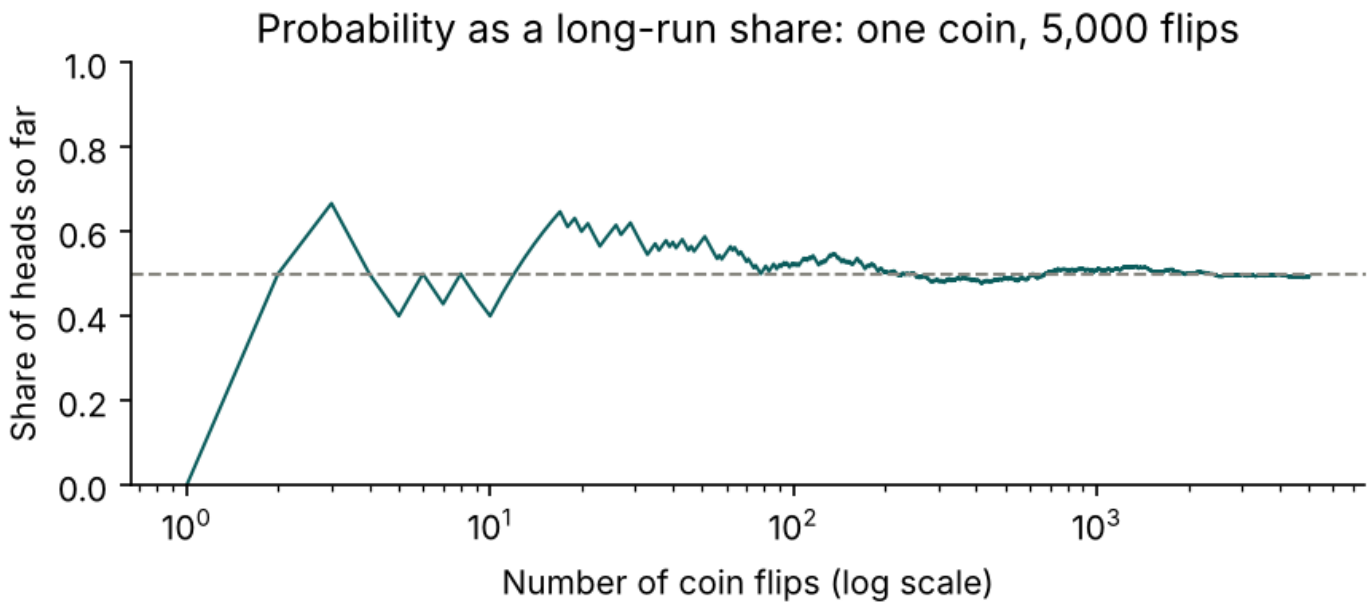
Buffon dropped needles by hand in 1777 to estimate π. What was new in 1946 was scale, and the realisation that almost any problem with randomness in it can be attacked this way.

Part A · Four ideas the method rests on

Probability, random numbers, distributions, and the law of large numbers

Notebook Part A follows the same four headings.

Probability is a long-run share



- "Probability of heads is ½" means: in an enormous number of flips, about half are heads.
- After 10 flips the share might be 0.3 or 0.7. After 5,000 it is very close to 0.5.
- Probability is where the line settles.

So a probability can be measured by repeating the experiment and taking the share. No formula, only patience.

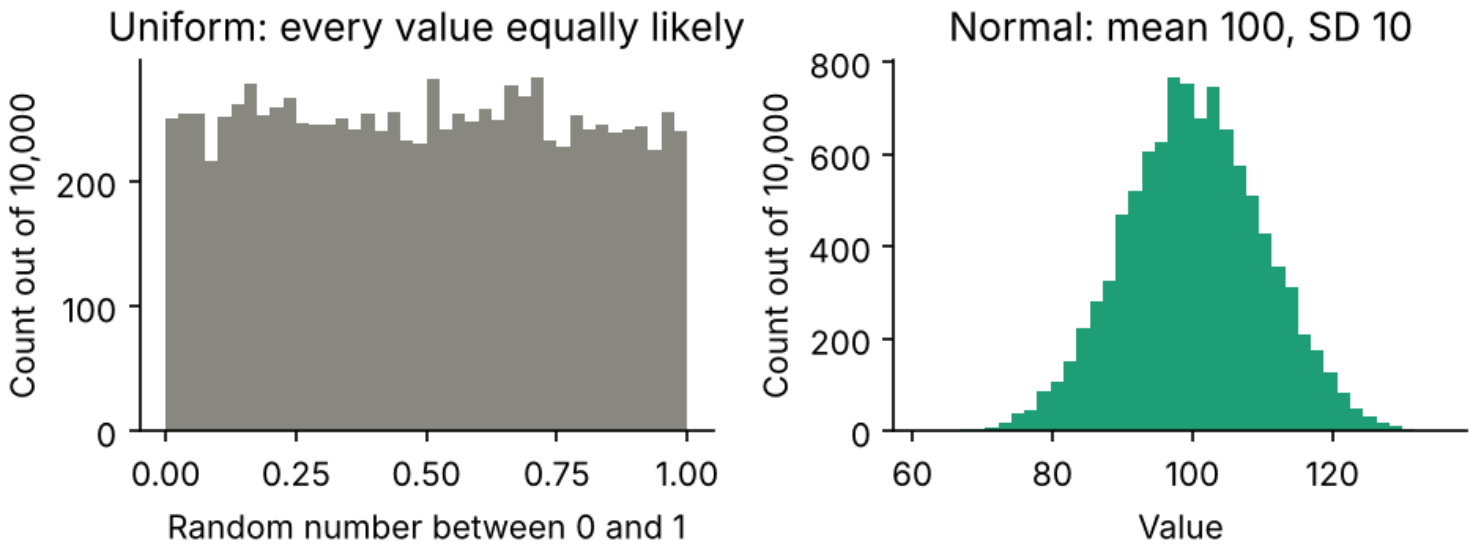
Notebook A.1: drag "Flips" from 10 to 5,000 and watch the swings narrow.

Random numbers from a computer

What you want	Excel	Python (notebook)
a number between 0 and 1, all equally likely	`=RAND()`	`rng.random()`
a whole number from 1 to 6 (a die)	`=RANDBETWEEN(1,6)`	`rng.integers(1, 7)`
a bell-curve number, mean 100, SD 10	`=NORMINV(RAND(),100,10)`	`rng.normal(100, 10)`

- A computer cannot produce truly random numbers. It runs a formula whose output passes every test of randomness: pseudo-random. Good enough for us.
- The sequence starts from a seed. Same seed, same “random” numbers, every time.
- That is a feature: your colleague can reproduce your simulation exactly. Every notebook section begins by fixing a seed.

Distributions: the shape of uncertainty



Notebook A.3: move the mean and SD sliders; the shaded band always holds about 95% of the draws.

- A distribution says which values a random quantity takes, and how often. Draw many values, make a histogram, and you can see it.
- Uniform: every value in a range equally likely. The computer's default.
- Normal (bell curve): values cluster around a mean; the standard deviation (SD) sets the spread. 68% within 1 SD, 95% within 2, 99.7% within 3.

The law of large numbers, and the 1/√N rule

1713

Jacob Bernoulli proves it: the average of many random trials settles on the true value

1/√N

the typical error of a Monte Carlo estimate shrinks with the square root of the number of runs

100× → 10×

a hundred times more runs buys ten times less error

- This is the guarantee that Monte Carlo works at all.
- It also tells us the price: diminishing returns. Ten thousand runs give roughly two decimal places; a million give three.
- Consequence: always report a Monte Carlo result together with its spread, and run at least a thousand times.

Bernoulli, J. (1713). Ars Conjectandi.

Part B · The recipe

Monte Carlo answers a question by generating many random versions of the situation and counting what happens.

Three ingredients

1. A model with something uncertain in it
2. A random number generator to draw one version
3. Repetition and aggregation: thousands of draws, then count or average

Four steps

1. Define the output you care about
2. Describe each uncertain input by a distribution
3. Draw, run the model once, record. Repeat N times
4. Summarise the N outputs, with their uncertainty

Stop 1

Two dice, and the first Monte Carlo

Estimate a probability by counting. Watch the error shrink.

Roll two dice and add them. How often is the sum 7?

The exact answer

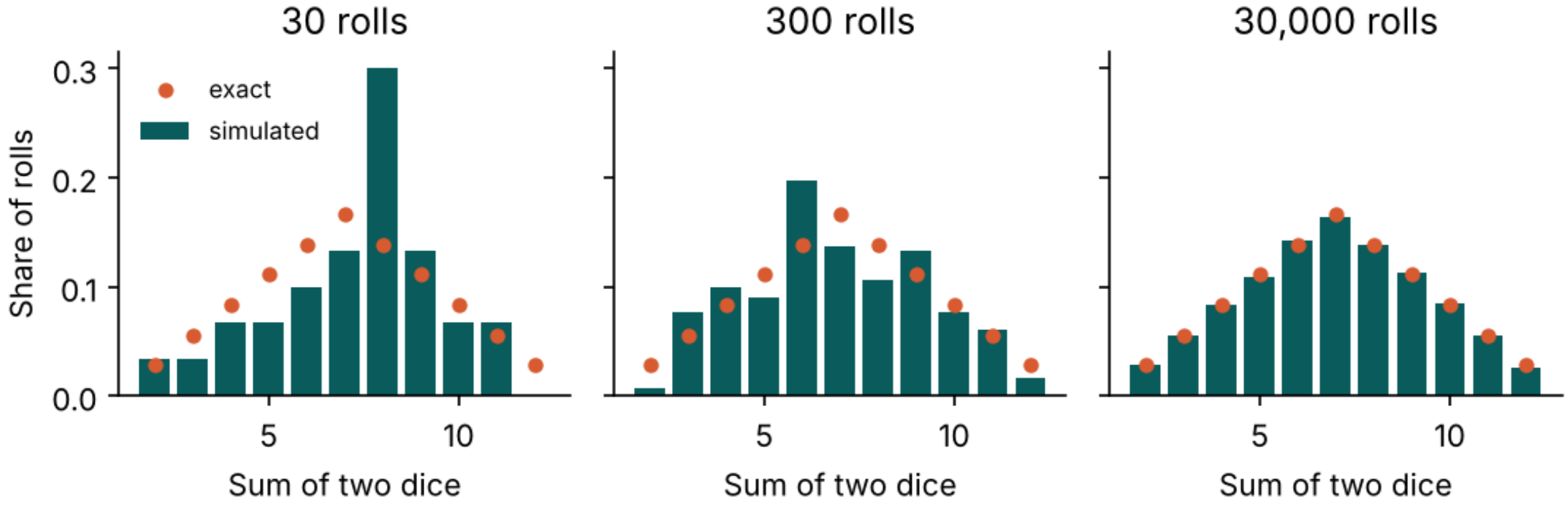
6 × 6 = 36 equally likely pairs of faces.
Six of them add to 7: 1+6, 2+5, 3+4, 4+3, 5+2, 6+1.
Probability = 6/36 = 1/6 ≈ 16.7%.

The Monte Carlo answer

Roll two dice 10,000 times. Add. Count how many sums are 7. Divide by 10,000.
Result: about 0.167, give or take a few thousandths.

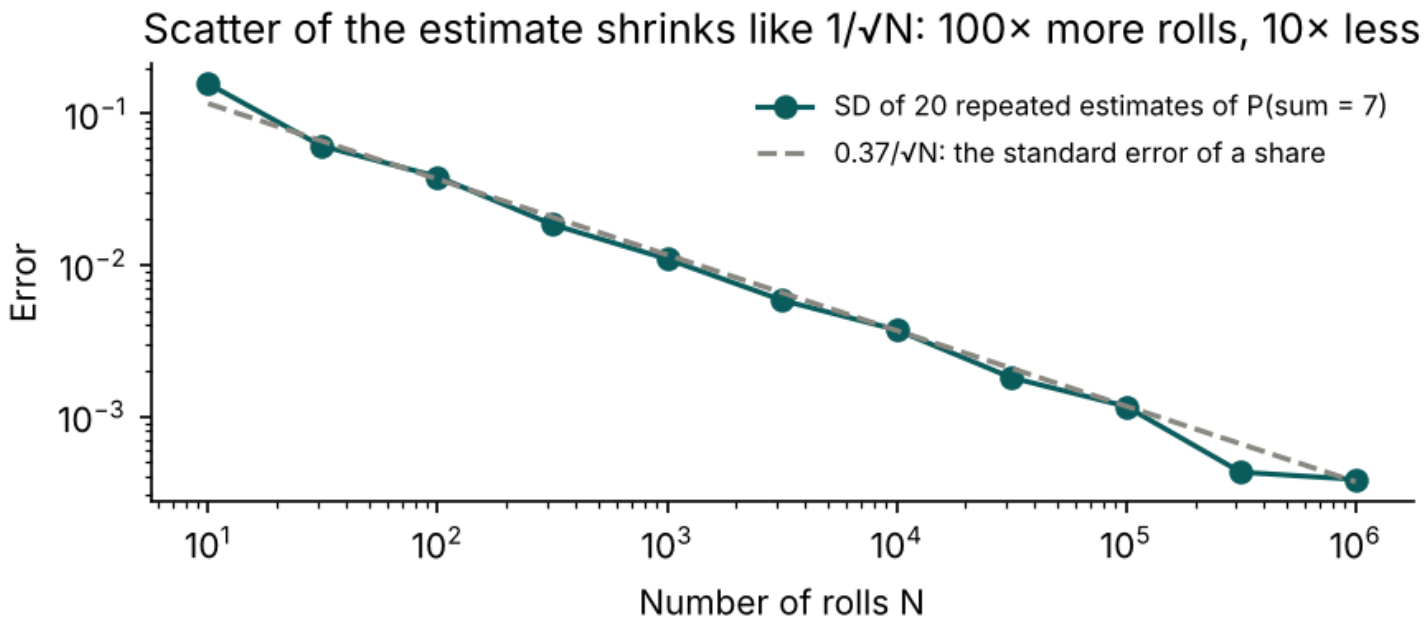
It does not know any of the left box. It rolls, adds, and counts. (Notebook 1.1: four lines of code.)

More rolls, better picture



Bars: simulated share of each sum. Dots: the exact probabilities. With 30 rolls the shape is barely there; with 30,000 the bars sit on the dots. P(7) is simply the height of the middle bar.

The error shrinks like 1/√N



- Each point: how much 20 repeated estimates of P(sum = 7) scatter (their SD).
- The probability itself, 1/6, does not shrink. What shrinks is the scatter of the estimate around it.
- The dashed line is the standard error of a share, 0.37/√N. Every hundredfold increase in rolls buys a tenfold reduction.

Stop 1 · On your screen

Website animation “Two dice”: drag Rolls, press Roll again several times at each setting.

Notebook sections 1.1 to 1.3: run each cell; the ▶ Try it cell has the slider.

Parameter	What it means	What to watch
Rolls (N)	How many times the two dice are thrown	Bars approach the dots as N grows; the error on P(7) shrinks roughly as 1/√N
Roll again	A fresh set of random rolls at the same N	At small N each press gives a visibly different picture: the estimate is itself random

✎ **Exercise, for later (notebook):** estimate the probability of a double (both dice equal); exact answer 1/6.

What we learned at stop 1

- A probability can be measured by counting, without any formula.
- The estimate is itself random: run it twice and you get two slightly different numbers.
- More runs give a better estimate, with diminishing returns ($1/\sqrt{N}$).

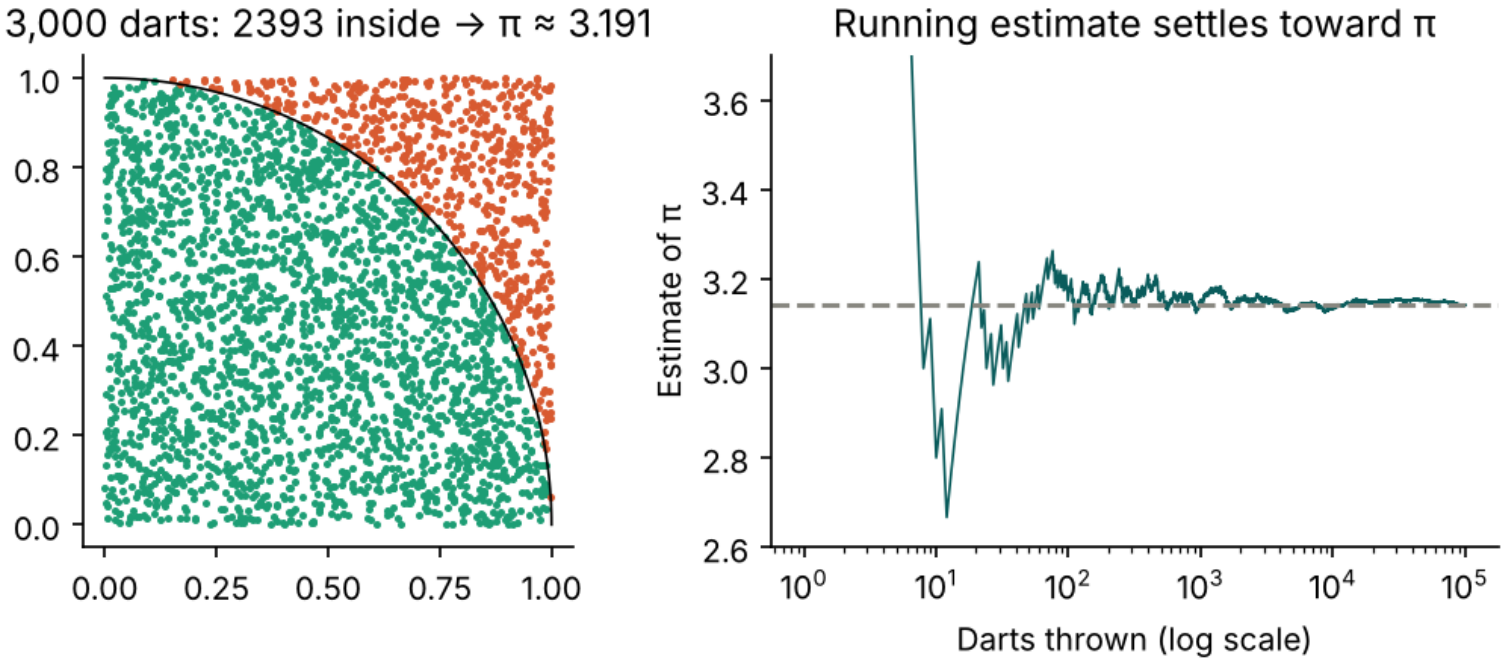
What this stop adds to the argument: *the recipe (model, random draws, repeat, count) in its simplest form, with a known answer to check it against. From here on the recipe never changes; only what sits inside the model does.*

Stop 2

Darts, π, and measuring with randomness

Now the output is a number, not a probability.

Throw darts; count the ones inside the circle



- Square of side 1: area 1. Quarter circle inside it: area π/4 ≈ 0.785.
- Throw darts at random. The share inside ÷ thrown estimates the area, π/4.
- The circle-area formula turns the area into π: multiply by 4.
- π ≈ 4 × (inside ÷ thrown)

Nobody is gambling here. Randomness is a ruler.

Where does “3.14 ± 0.01” come from?

Actual error

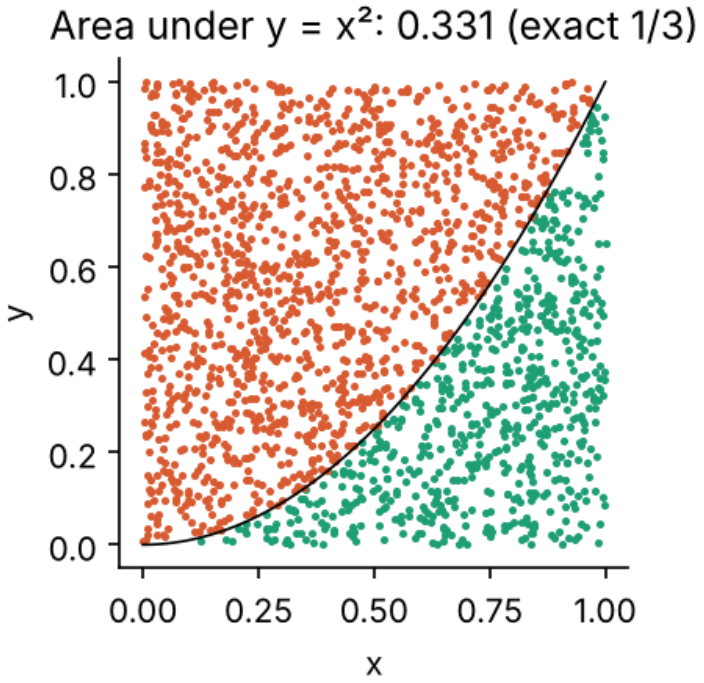
|estimate − π|. We can compute it only because we happen to know π. In a real problem we never do, or we would not be simulating.

Standard error

The scatter expected from the data alone. Always available, needs no known answer. This is the number to report.

Share inside: $p \approx 0.785$ from $N = 100{,}000$ darts. Standard error of a share = $\sqrt{(p(1-p)/N)} \approx 0.0013$
We multiplied the share by 4, so the standard error of $\pi \approx 0.005$. Two standard errors, the usual margin: ≈ 0.01

Any area, in any number of dimensions



Comte de Buffon



Source:
Wekimedia

- Replace the circle by the region under any curve: the count gives its area, the integral. Here $y = x^2$, exact area 1/3.
- For one curve a calculator does better. In ten or a hundred dimensions ordinary methods become impossibly slow; random sampling costs the same regardless of dimension.
- Buffon's needle (1777): drop needles on a boarded floor; the share crossing a crack depends on π. The first Monte Carlo, done by hand.

Buffon, G.-L. L. (1777). Essai d'arithmétique morale. · Verschuuren (2017), simulation 89, builds the same example in Excel.

Stop 2 · On your screen

Website animation “Darts and π”: drag Darts, press Throw again.

Notebook sections 2.1 to 2.3, plus the Buffon's needle cell.

Parameter	What it means	What to watch
Darts (N)	How many random points are thrown at the square	The running estimate wanders, then settles near 3.14 but never becomes exact
Throw again	A fresh set of darts at the same N	Two runs at the same N give two different paths and two different final estimates
f(x) (notebook 2.3)	The curve whose area is measured	Change x**2 to any curve and the same count gives its area

✎ **Exercise, for later (notebook):** how many darts are needed before the estimate is reliably within 0.01 of π? Does $1/\sqrt{N}$ predict it?

What we learned at stop 2

- Monte Carlo can estimate numbers, not just probabilities, by turning a measurement into a count.
- The running estimate converges but never becomes exact: always report a margin.
- The method does not care how many dimensions the problem has. That is its great advantage.

What this stop adds to the argument: *the same recipe, but the thing we count now measures a number rather than a chance, and we learn to attach a margin to it from the data alone.*

Stop 3

A referendum, and taming the future

Feed distributions in. Read a distribution out.

Polls say 52% yes. Will it pass?

52%

the polls say yes

± 3 points

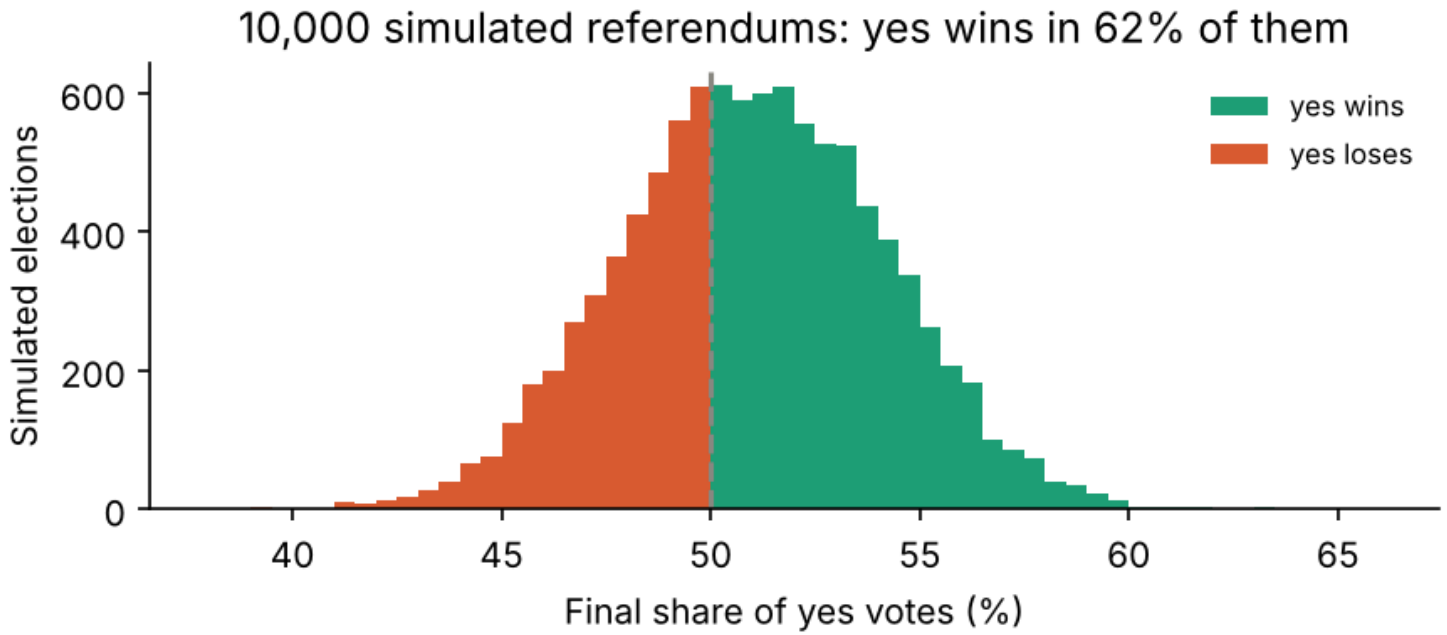
polls have historically missed the result by about this much, either way

−1 ± 1

the yes side tends to turn out slightly less, costing about a point

- A single number cannot answer this. 52 − 1 = 51, “yes, narrowly”, ignores the ±3 and the ±1.
- The honest answer is a probability. Monte Carlo gets it by simulating ten thousand election nights, each with its own random poll error and turnout effect.

Ten thousand election nights



62%

chance the proposal passes

46% – 56%

90% of outcomes fall in this range

Three things the number 52 could not say: it will probably pass; there is a real chance (38%) it fails; almost any result between 46 and 56 would be unsurprising.

Verschuuren, G. M. (2017). 100 Excel Simulations: "taming the future" with NORMINV.

Stop 3 · On your screen

Website animation “Referendum”: three sliders for the inputs, one for the number of simulations.

Notebook sections 3.1 and 3.2, the ▶ Try it cell, and the budget exercise skeleton.

Parameter	What it means	What to watch
Polled yes %	What the last polls say	Move it toward 50: the pass probability falls fast near the line
Poll error ±	How wrong polls usually are (SD, points)	Widen it: the histogram flattens and the probability moves toward 50/50
Turnout tilt	Average points gained or lost through turnout	Shifts the whole histogram left or right
Simulations	How many election nights are played	At 100 the histogram is ragged; at 10,000 it is smooth (1/√N again)

✎ **Exercise, for later (notebook):** the fieldwork budget: three uncertain cost items, find the probability of exceeding €12,000, then the budget that is safe 95% of the time.

What we learned at stop 3

- Replace every fixed input by a distribution; the output becomes a distribution too.
- Summarise it as a probability, a median, and a range (for example the 5th to 95th percentile).
- The histogram is more honest, and more useful, than any single number.

What this stop adds to the argument: *the model inside the recipe now has several uncertain inputs at once, and the output we keep is the whole distribution, not one number.*

Five-minute break

Next: testing a study design before collecting any data, then Schelling's city.

Stop 4

Planning a survey by simulating fake data

Invent a world where you know the truth. Check whether your analysis finds it.

How many people do I need?

Statistical power: the share of whole studies, across many imagined repeats of a design, that detect an effect that is really there. One study gives one yes or no. The usual target is 80%.

1

Invent a world in which the difference is real, of a given size

2

Simulate one fake study: a sample from each group, run your test, note whether p < 0.05

3

Repeat 1,000 times. The share that detected the effect is the power

4

Change the sample size until the power reaches 80%

This is the recipe of Part B with your own statistical test inside the model. The line in the code that shifts group B by the effect size is the truth we wrote: every missed detection is therefore a known mistake. Use it three ways: vary n, vary the effect, or check one fixed design.

The one input you must assume: the effect size

d = (mean of group B − mean of group A) ÷ standard deviation of the measurement

- Why divide by the SD? A raw difference means nothing without the spread. On a 1-to-5 agreement scale, half a point between two municipalities is large if almost everyone answers 3 or 4 (SD ≈ 0.6) and small if answers cover the whole scale (SD ≈ 1.4).
- Dividing by the SD puts every measurement on the same footing.

d = 0.2 small

The two bell curves overlap almost completely; you would not see it by eye.

d = 0.5 medium

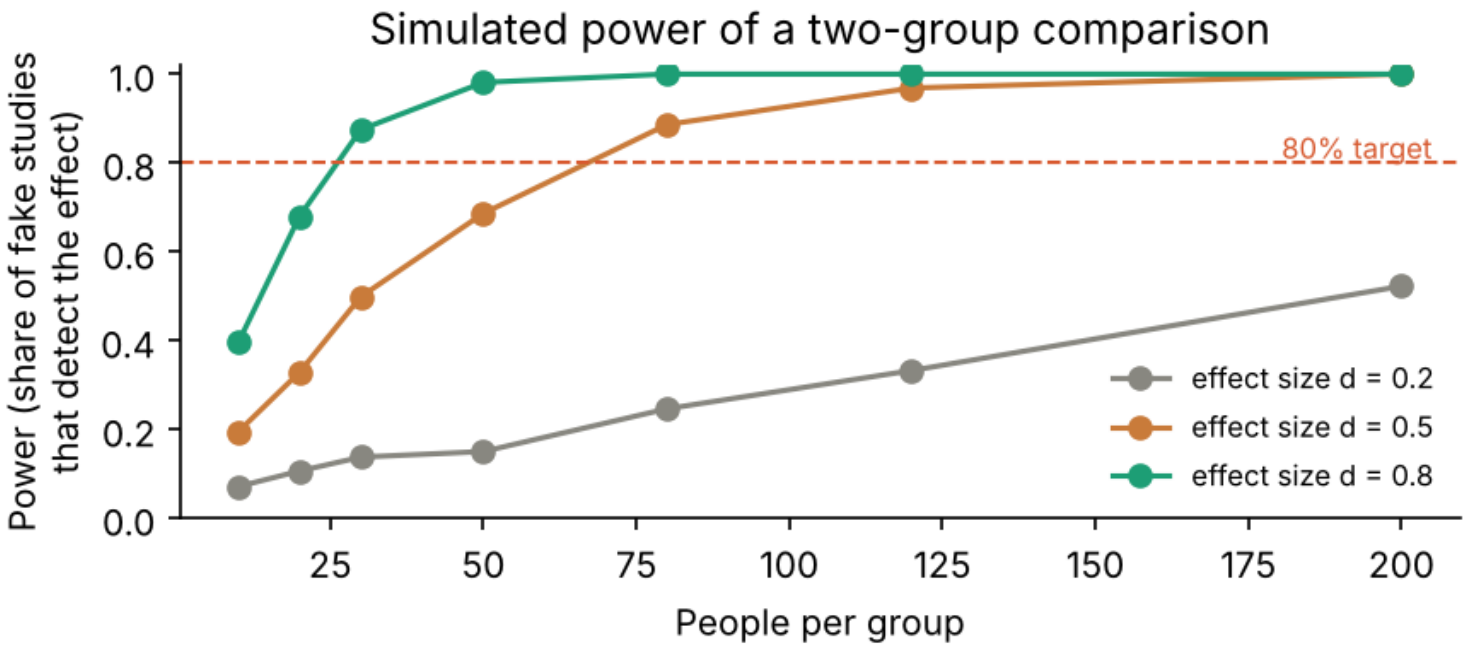
Visible overlap, but clearly shifted.

d = 0.8 large

The shift is obvious in a histogram.

Cohen, J. (1988). Statistical Power Analysis for the Behavioral Sciences (2nd ed.). You must choose d before simulating; the simulation cannot tell you what effect matters.

Power by simulation



- How to read it: pick the line for your effect size, follow it to the dashed 80% line, read the sample size down from there.
- The medium line crosses at about 64 people per group.
- The small-effect line never reaches 80% on this plot: it gets there at about 400 per group, off the right edge. This is why underpowered studies of small effects are so common.

The same trick checks whether any method behaves as advertised: is my estimator unbiased? Does my 95% interval really contain the truth 95% of the time? (Notebook 4.3.)

Stop 4 · On your screen

Website animation “Power”: two sliders, a bar that turns green at 80%.

Notebook sections 4.1 to 4.3 (4.3 is the coverage check).

Parameter	What it means	What to watch
People per group	Sample size of each of the two groups	Power rises with n but flattens: going from 100 to 200 buys little for a medium effect
Effect size (d)	How big the real difference is, in SD units	Set d = 0: power settles near 5%. With no real effect, one study in twenty still “detects” something: that is the false-alarm rate α
(the bar jitters)	Each slider move runs 400 fresh fake studies	The power estimate is itself a Monte Carlo estimate with its own scatter

✎ **Exercise, for later (notebook):** an unequal design (40 vs 20); and break the coverage check on purpose (n = 5 with 1.96 instead of the t-value; skewed data).

What we learned at stop 4

- You can test a study design by simulation before collecting any data.
- Power is simply the share of simulated studies that find the real effect.
- The same trick checks whether any statistical method behaves as advertised.

What this stop adds to the argument: *the model inside the recipe is now a whole study, data and analysis included, and we simulate in a world where we wrote the truth, so every miss is a known mistake.*

Stop 5

Schelling's neighbourhood, and Monte Carlo over an agent-based model

One run is an anecdote. Many runs are an experiment.

The model: a city of particular households

Thomas C. Schelling

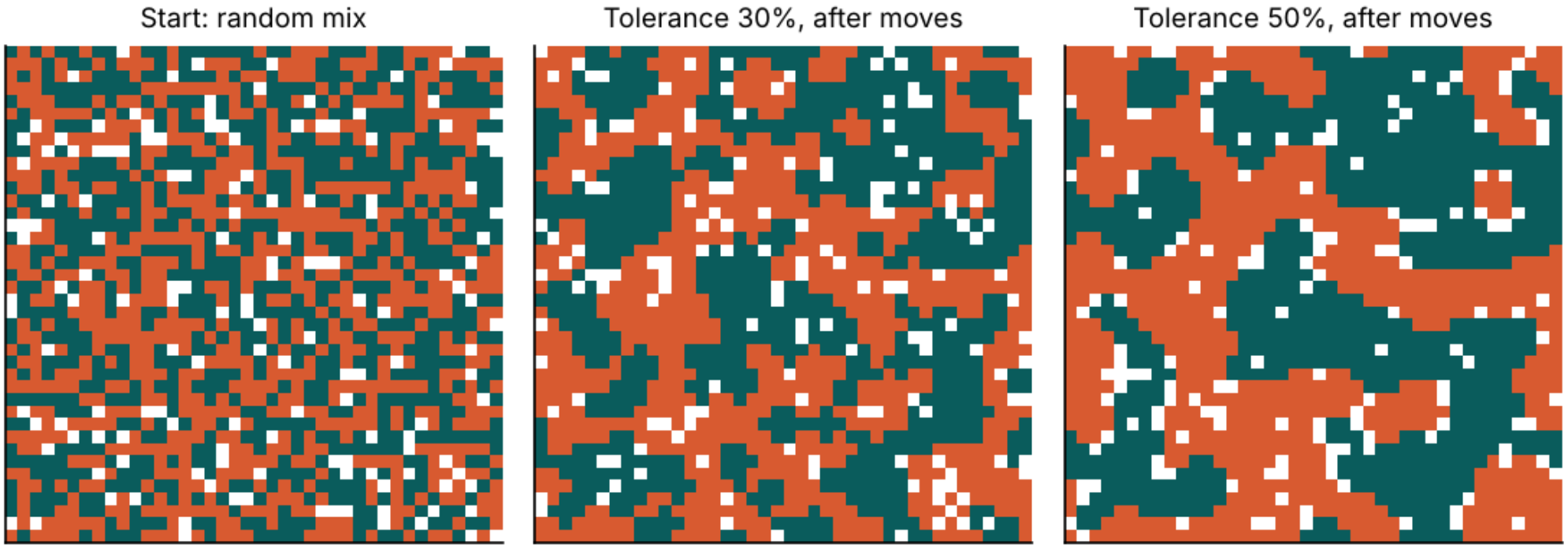


Source:
Wekimedia

- A grid of houses. Each is empty or holds a household of one of two kinds.
- Every household has a threshold: the minimum share of its eight neighbours it wants to be its own kind. 0.30 means “at least 3 of my 8 like me”. (Sliders call it “tolerance”, but higher means more demanding.)
- Segregation measure: the average household's share of similar neighbours. About 0.5 mixed, near 1.0 fully separated.
- Unhappy households move to a random empty house. Happy ones stay. That is the whole model.
- Schelling's question: how strong must the preference be before the city segregates? His answer: not strong at all.

Schelling, T. C. (1971). Dynamic models of segregation. Journal of Mathematical Sociology, 1(2), 143–186. · Schelling (1978). Micromotives and Macrobehavior.

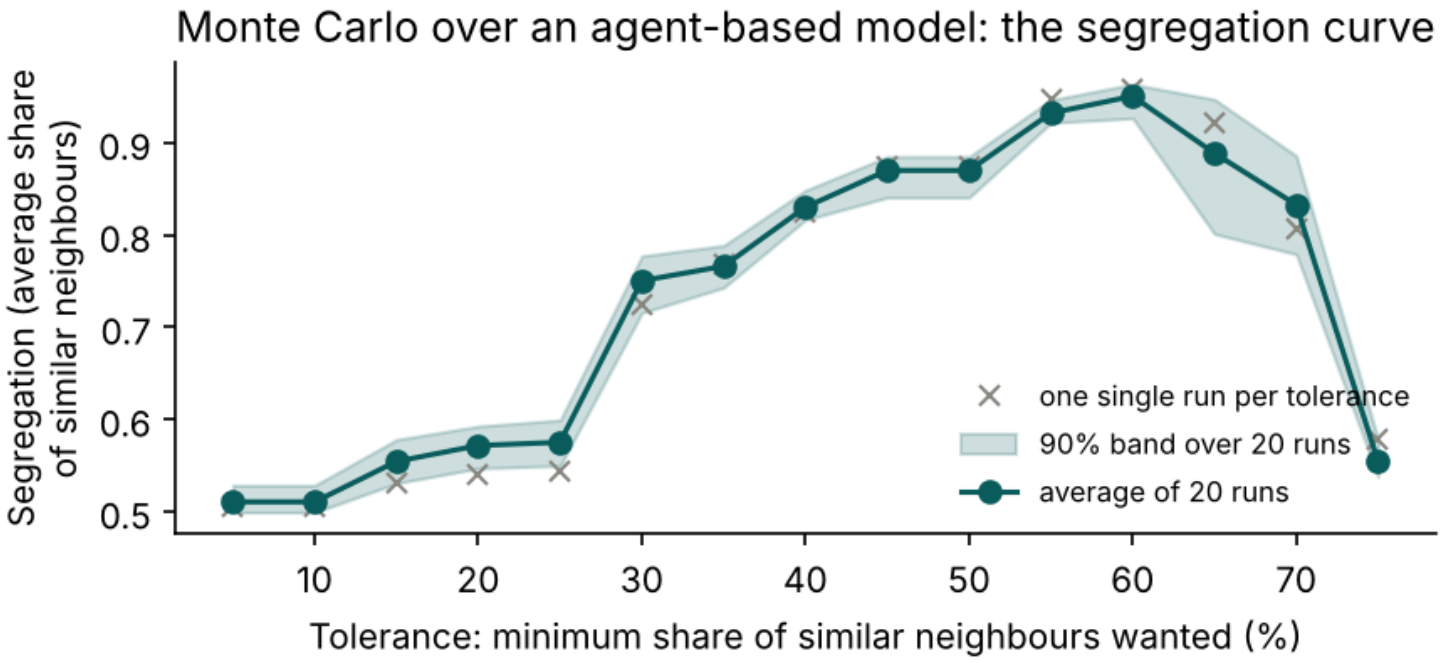
One run of the model



Left: random start, segregation 0.50. Middle: threshold 30%, after moves, 0.74. Right: threshold 50%, 0.87. Households stopped at 30%; the city ended near 0.75.

One seed = one complete random city (start and moves), like one roll or one dart. A different seed: clusters elsewhere, a different number. Which one is “the result”? Neither.

Twenty runs per threshold: the segregation curve



- Read it as Monte Carlo: dots = the estimate (average of 20 runs), band = the spread (90% of single runs), grey crosses = one run per threshold, an anecdote each.
- The inner loop over seeds is the dice loop of Stop 1 with a city in place of a die. The outer loop over thresholds is the only new thing.
- Findings: a jump between 25% and 30% (from “two like me” to “three like me”); a collapse above 65%, where nobody can be satisfied and the city never settles.

Stop 5 · On your screen

Website animation “Schelling”: one run with sliders, then a Sweep button that runs many and draws the curve.

Notebook 5.1 defines the model, 5.2 one run (two purposes: the tolerance slider shows Schelling's finding, the seed slider shows that no single run is the result), 5.3 the sweep, 5.4 the preview.

Parameter	What it means	What to watch
Tolerance	The household threshold: minimum share of similar neighbours wanted	Clusters appear already at 30%; above 65% the city churns and never settles
Seed	Which random starting city and which random moves	Same threshold, different seed: clusters elsewhere, segregation number differs
Runs per point (sweep)	How many seeds are averaged at each tolerance	More runs: smoother curve, narrower band
Empty share	Fraction of empty houses	More empties make moving easier: does the jump move?

✎ **Exercise, for later (notebook):** repeat the sweep with a 15×15 city (the band widens: why?) and with 30% empty houses. Then try the Granovetter playground cell.

The rule for every agent-based model

Never report a single run. Run the model many times with different seeds, report the distribution of outcomes, and sweep the parameter you care about to find where the behaviour changes.

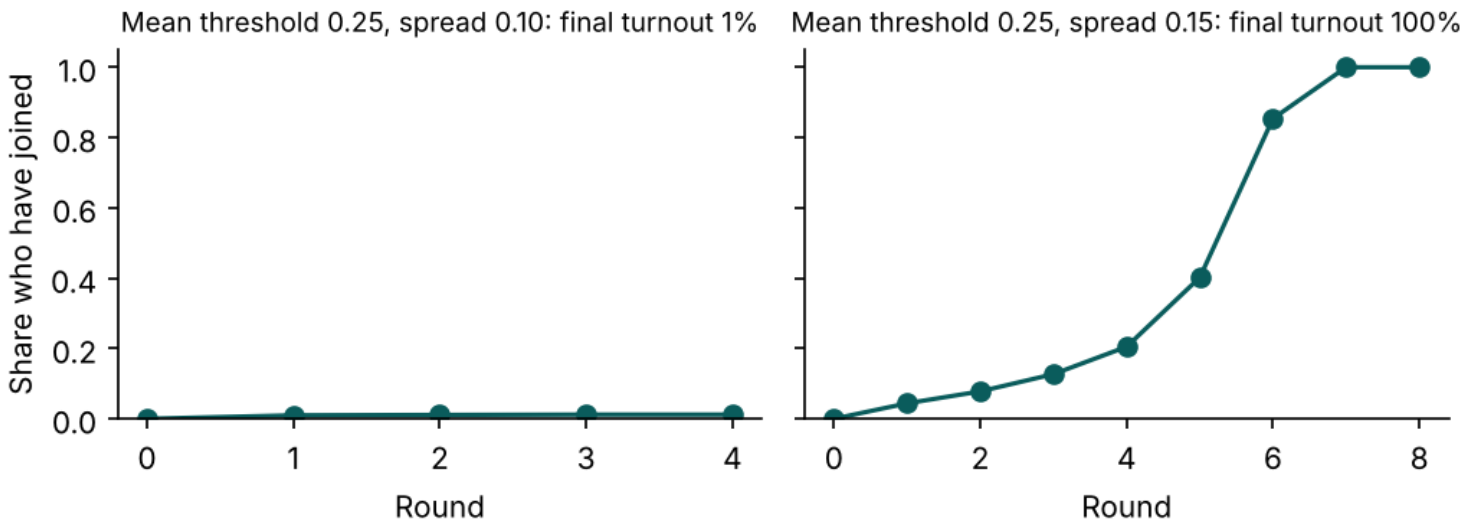
That sweep is a Monte Carlo experiment. It is what turns a simulation from a story into evidence.

Playground on the course website: the forest-fire model (sweep tree density to find its threshold).

Looking ahead: where did 30% come from?

- Nowhere. It stands in for an attitude that, in a real city, you would measure with a questionnaire item: “I would feel uncomfortable if most of my neighbours were different from me.”
- Turning such answers into a number a simulation can use is called pseudo-quantification.
- Different people give different answers, so there is not one threshold but a distribution of thresholds. Carrying our doubt about the translation into the model is the quantification of uncertainty.
- Both are the subject of the next seminar, with the same model and one line of code changed: the single threshold becomes an array, one per household. Next seminar, only what goes into that one line changes. Notebook 5.4 is the preview.

Why the spread matters: Granovetter's crowd



- Each person joins a protest once at least a certain share of others has. Two crowds with the same mean threshold, 0.25, and different spreads.
- Spread 0.10: almost nobody joins. Spread 0.15: everybody does. Same average attitude, opposite outcomes.

A single number for an attitude cannot capture this; a distribution can. That is the motivation for replacing one number by a distribution next seminar. Playground in the notebook and on the website.

Granovetter, M. (1978). Threshold models of collective behavior. American Journal of Sociology, 83(6), 1420–1443.

Granovetter's ladder: why one person can stop a riot

100 people, thresholds 0, 1, 2, … 99

Each person needs one more than the last. The person with threshold 0 starts; that is enough for threshold 1; now two, enough for threshold 2; and so on. All 100 join.

Change one person: threshold 1 → 2

The starter still starts, but nobody needs exactly one other person any more. The chain breaks at the first link. One person riots.

Same crowd to within one person, same average to within a hundredth, opposite outcome. A cascade needs an unbroken ladder of thresholds; spread supplies the rungs. That is why the model needs a distribution of attitudes, not an average.

Granovetter, M. (1978), pp. 1424–1425. The notebook reproduces this in a four-line cell.

Where this road leads

Bootstrapping

A confidence interval for a statistic with no formula: resample your own survey with replacement, recompute, repeat 10,000 times. The spread is your interval. Monte Carlo on data you already have. Notebook 6.1.

Sensitivity analysis

Real models have dozens of uncertain inputs. Shake them all at once, then ask which one explains most of the variation in the output. That is the one worth measuring precisely. Notebook 6.2.

Markov chain Monte Carlo

Bayesian statistics needs samples from a distribution you cannot write down. MCMC takes a random walk that lingers where the data fit well. Engine of modern Bayesian software (Stan, PyMC). Notebook 6.3, twelve lines.

Efron, B. (1979). Bootstrap methods. Ann. Statist., 7(1), 1–26. · Metropolis, N., et al. (1953). Equation of state calculations by fast computing machines. J. Chem. Phys., 21(6), 1087–1092.

Five habits that keep you honest

- Garbage in, gospel out. Ten thousand runs on a wrong assumption give a beautifully smooth histogram that is precisely wrong. State your input assumptions; test what happens when you change them.
- Report the spread, not just the average: a probability, a median, a 5th to 95th percentile range, a band around a curve.
- Use enough runs, and say how many. A thousand is the minimum; more for the tails. If two repetitions disagree visibly, you need more.
- Fix the seed and share the code, so anyone can reproduce your numbers exactly.
- A model is not the world. Monte Carlo quantifies the uncertainty inside a model; it cannot tell you whether the model is right.

Now you: ten minutes of free play

Website animations

acharyakishor.com/simulations
Dice, darts, referendum, power, Schelling, plus Granovetter and the forest fire. Each has a “Try this” box.

Colab notebook

Open in Colab from github.com/ACHARYAkishor/Monte_carlo_Seminar_UniTartu. Same numbering as these slides. Change any number, watch the figure redraw. No installation.

For later: the notebook has an ✎ Exercise at the end of every stop (doubles, darts precision, a fieldwork budget, an unequal design, a small city), and three extras that only live there: Buffon's needle, a coverage check, and a twelve-line MCMC sampler.

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Thank you!

Aitäh!

धन्यवाद

Generate many random versions of the situation. Count what happens. Report the spread.